Q4 2025 : USA

Q4 2025 Review: Blue-Chip Outperformance and Risk-Adjusted Alpha in a Volatile Macro Environment.

S&P 500	Dow Jones Industrial	NASDAQ Composite
11.49%	17.65%	12.19%
↑ Ann. Return	↑ Ann. Return	↑ Ann. Return

S&P 500	Dow Jones Industrial	NASDAQ Composite
12.72%	11.47%	18.31%
↑ Ann. Vol	↑ Ann. Vol	↑ Ann. Vol

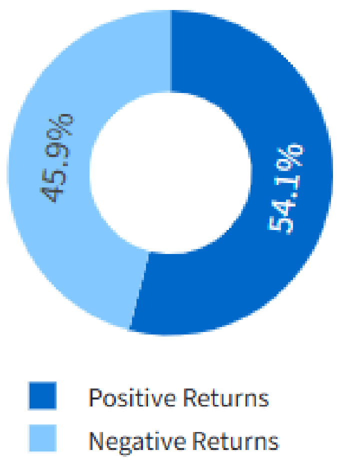
Q4 2025 was a high-stakes "tug-of-war." After an inflation-driven dip on Oct 10 , indices surged toward Oct 29, fueled by Nvidia's historic $5T valuation. However, this euphoria hit a wall on Nov 20 due to tariff threats and geopolitical tensions. Crucially, the Dow Jones Industrial outperformed (17.65%) compared to the S&P 500 (11.49%) , reflecting a rotation toward blue-chip stability amidst late-quarter volatility.

The NASDAQ Composite exhibited the highest annualized volatility at 18.31% , driven by high-beta tech sensitivity to trade policy shifts. Meanwhile, the S&P 500 volatility remained moderate at 12.72%. This divergence highlights the necessity of risk-adjusted positioning during geopolitical uncertainty.

But what is happening in the S&P 500 ?

Index average return : 23.2%

Market Breadth



Advancing Issues

272

↑ 54.1%

Declining Issues

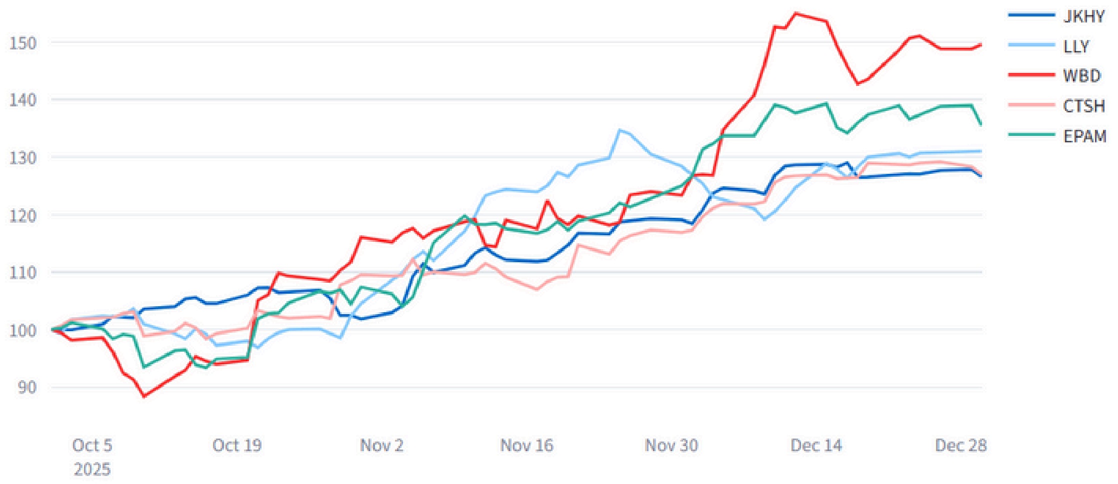
231

↑ 45.9%

With only 54.1% of issues posting positive returns, the market rally remained narrow. This "thin" breadth underscores the importance of active stock picking. In an environment where nearly half the market struggled, identifying "Growth Fortresses" with low drawdown was the primary driver of alpha.

Equities with best sharpe ratio

	JKHY	LLY	WBD	CTSH	EPAM
Annual Return	156.7%	194.5%	400.3%	160.3%	236.7%
Volatility	19.01%	26.25%	41.13%	23.96%	31.31%
Sharpe	5.03	4.24	4.14	4.10	4.04



- JKHY (Jack Henry): The Efficiency King. Delivered the highest Sharpe Ratio (5.03) by leveraging banking cloud migrations with minimal volatility (19%).
- LLY (Eli Lilly): Growth Fortress. A 194.5% return powered by the dual-engine of GLP-1 dominance and AI-pharma integration.
- WBD (Warner Bros. Discovery): Event-Driven Alpha. Captured a 400.3% return following a massive acquisition bid and strategic restructuring.
- CTSH (Cognizant): Downside Protection. Achieved the lowest drawdown (-4.67%) by providing mission-critical AI integration services.
- EPAM: 236.7% return. Fast-paced growth through aggressive GenAI deployment.

In a narrow market (54.1% breadth), index tracking is over. I focus on high-Sharpe assets and downside protection to drive alpha. Ready to discuss how this methodology fits your team.